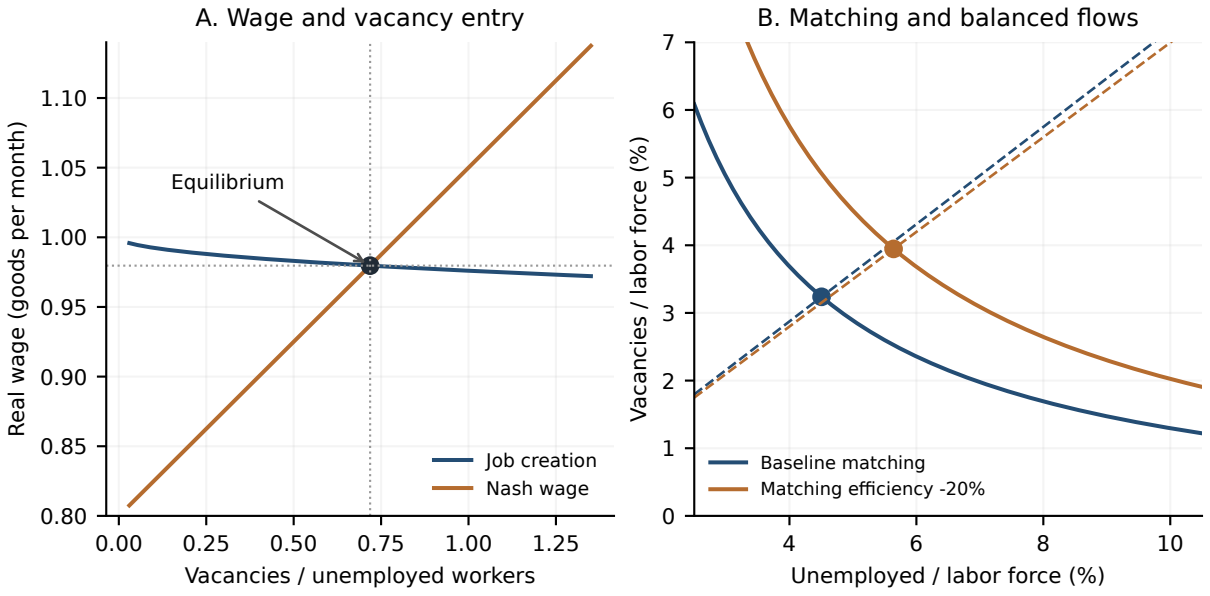
A. Wage and vacancy entry
Real wage (goods per month)
1.10
1.05
1.00
0.95
0.90
0.85
0.80
Equilibrium
Job creation
Nash wage
0.00
0.25
0.50
0.75
1.00
1.25
Vacancies / unemployed workers
B. Matching and balanced flows
Vacancies / labor force (%)
7
6
5
4
3
2
1
0
Baseline matching
Matching efficiency -20%
4
6
8
10
Unemployed / labor force (%)